Taiwan Semiconductor Manufacturing Co (TSM)

AI Foundry Monopoly

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*AI Foundry Monopoly. TSMC manufactures the silicon inside Nvidia's AI accelerators. HPC is now 68% of revenue. Advanced nodes (7nm and below) are 79% of wafer revenue, with 2nm ramping from 3% to 8% in one quarter [8-K Q3 2026]. Demand Exceeds Supply. CEO C.C. Wei: AI demand still exceeds TSMC's supply capability. Q4 guided to $52.3-54.3B vs $48.8B consensus. Sixth consecutive record profit quarter [8-K Q3 2026]. Stretched vs DCF. At $412.61 [Mkt 16-Oct-26], the ADR trades 70% above our $243.06 DCF base. The business is the best in semis; the price leaves no margin for geopolitical or cyclical error. All figures in NT$ unless noted. Our framework screens it as a **Hold** with a $244.78 blended target, 41% below the current price.*

HOLD	$244.78	-41%	$412.61
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Demand Exceeds Supply. CEO C.C. Wei: AI demand still exceeds TSMC's supply capability. Q4 guided to $52.3-54.3B vs $48.8B consensus. Sixth consecutive record profit quarter [8-K Q3 2026].

Stretched vs DCF. At $412.61 [Mkt 16-Oct-26], the ADR trades 70% above our $243.06 DCF base. The business is the best in semis; the price leaves no margin for geopolitical or cyclical error. All figures in NT$ unless noted.

NT$1,494.2B	NT$763.1B	66.4%	51.1%	68%	8%
REVENUE (Q3 2026)	NET INCOME (Q3 2026)	GROSS MARGIN (Q3 2026)	NET MARGIN (Q3 2026)	HPC REVENUE MIX	2NM WAFER MIX

The moat is structural

AI demand exceeds supply; HPC now 68% of revenue (from 57%)

Three scenarios make the valuation range explicit

The DCF values Taiwan Semiconductor Manufacturing Co across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$199.97**	-52%
Base	50%	**$243.06**	-41%
Bull	25%	**$293.04**	-29%

Bear ($199.97, -52%): Growth disappoints and multiples compress; the $199.97 target marks the downside case.

Bull ($293.04, -29%): Execution compounds and the multiple rerates; the $293.04 target marks the upside case.

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The probability-blended target implies -41% upside

Blended target: $244.78 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -41% upside from the $412.61 reference price.

$244.78

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

NTM P/E 17.6x [Mkt 16-Oct-26] DCF Base $243.06 vs $412.61 spot [Mkt 16-Oct-26] PEG 0.8 [Mkt 16-Oct-26] PEG is attractive, but DCF implies 41% downside. The multiple is fair; the absolute price is not.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $244.78 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

AI demand exceeds supply; HPC now 68% of revenue (from 57%) [8-K Q3 2026]

2nm ramp: 8% of wafer revenue (from 3% in Q2); advanced nodes 79% [8-K Q3 2026]

Q4 guide $52.3-54.3B vs $48.8B consensus; full-year growth ~44% in USD [8-K Q3 2026]

What to monitor

Jan 2027. Q4 2026 Earnings: $52.3-54.3B guide (vs $48.8B Street). 2nm ramp is the watch item.

2027. 2nm volume ramp and Arizona fab expansion progress.

2026-2028. CapEx guided significantly above prior 3-year period to meet AI demand.

NT$1,494.2B	NT$763.1B	66.4%	51.1%
REVENUE (Q3 2026)	NET INCOME (Q3 2026)	GROSS MARGIN (Q3 2026)	NET MARGIN (Q3 2026)

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$3809.1B	$2281.3B	$1697.6B

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2024	$2894.3B	$1624.4B	$1158.4B
2023	$2161.7B	$1175.1B	$851.7B
2022	$2263.9B	$1348.4B	$992.9B

Key risks

Geopolitical Risk. Concentration of leading-edge fabs in Taiwan; any cross-strait escalation is existential for the equity. [20-F FY25]

Node Transition. 2nm ramp diluted Q3 gross margin by 1.3 pts; yield issues at new nodes are the recurring execution risk. [8-K Q3 2026]

Customer Concentration. Customer concentration (Apple, Nvidia) means any share shift or demand pause is material. [20-F FY25]

Investment view

A 2nm yield problem or Taiwan escalation would cut all pillars. Sustained 40%+ growth into 2027 with margin recovery could support current levels.

Hold. The $244.78 blended target implies -41% upside, balancing the $199.97 / $243.06 / $293.04 Bear / Base / Bull targets.

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Upcoming catalysts

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